that if you were long, you could sell, and if you were short, as the exchange members presumably were, you could cover. Talk about a market rigged in favor of the shorts! In 1979, total trading volume in silver was 34 billion ounces. In 1980, volume dropped to 7 billion ounces, and prices collapsed. The message from this event is that the very smart market timers who are long puts or short futures might wake up one Saturday to find that the exchange will be selectively closed, or closed, period. They might be stuck for awhile wondering if they will ever see the money they rightfully earned.

Another wild card is the potential for the outright outlawing of certain markets. Government authorities, who proudly take credit for bull markets, will require a scapegoat for the decline. They will desperately order investigations to determine who (omitting themselves, of course) are to blame. The good news is that while the scapegoat is usually certain groups of *people* (speculators, short sellers, pool operators, you name it), this time it will probably be inanimate trading and arbitrage vehicles. The perfect candidate is derivatives, because so few people understand their role in providing risk reduction and market liquidity and will accept whatever blame is assigned to them. Though they are now seemingly permanently entrenched in the investment landscape, a dozen years from now, futures and options will be banned.

The point of these examples is that there may well be hidden pitfalls in terms of how you can prosper, or even survive, during the coming bear market. Some of them, despite the immense foreknowledge we do have, will be completely unforeseen. Do your best to avoid getting caught in an investment you cannot liquidate. If you are of that rare breed of trader who can move at lightning speed and stay alert for all contingencies, you should do extremely well.

If you are among the other 99.9% of the population, you should focus primarily on preserving your assets in what over the next several years may well be the most challenging investment environment in the history of the world. If you are successful, you will be able to scoop up bargains of historic proportion in stocks, property and gold at the ultimate bottom. More than one famous financier has built a dynasty by waiting patiently and then buying sold-out investments or near-bankrupt businesses at depressed prices.

One reason that the preservation of your savings is so important is that even the integrity of retirement plans and insurance policies is likely to be adversely affected by the coming crisis. Pensions are generally considered 100% safe, but today they are not. First, their assets are in investments that will fall a long way in the